

Disintegration and Change in the International Law on Foreign Investment

Muthucumaraswamy Sornarajah*

ABSTRACT

Resistance to the law made through expansionist interpretation of investment treaties by arbitral tribunals has led to the disintegration of the resulting structure of investment protection. The creation of an inflexible system of investment protection through arbitral interpretation undermines the exercise of power of states to take measures to protect the public interest. The process of disintegration of this unjust system must be hastened through the creation of new norms that ensure that obligatory rules deter the misconduct of multinational investors. If investment treaties are necessary, the regulatory power of states to promote the public interest should be given priority over investment protection.

INTRODUCTION

Disintegration of norms take place when power-based rules of international law made during the hegemonic ascendancy of one or a group of states are challenged by the groups against whose interests the rules were made. When such resistance sets in, the dominant rules begin to disintegrate. But, what eventually tilts the balance in favour of change is when the dominant group which had erstwhile fashioned the dominant prescriptions of the law sees developments in it that are antithetical to its own interest. When that happens, a definite trend towards change of the law becomes established. The disintegration of the old rules becomes swift. We see this happening with intensity in the international law on foreign investment.¹ To understand these changes, it is first necessary to state the manner of the development of the international law on foreign investment as a perennially contested area. This is done in the first section of the article. This section also describes the more concrete rules which emerged during the period of neoliberalism, the resistance to these norms, and the consequent changes. The second

* Emeritus Professor of Law, National University of Singapore.

1 Investment treaties were in existence from 1957. The thesis is that their significance as a law generating base began only in 1990 when the award in *APPL v Sri Lanka* (1990) recognized the right of a foreign investor to bring arbitration against the host state on the basis of an appropriately worded investment treaty. In 2012, the USA introduced a model investment treaty which contained defences to liability when none existed in its earlier model treaties. See *Asian Agricultural Products Ltd. v Republic of Sri Lanka*, ICSID Case No. ARB/87/3, Final Award, 27 June 1990.

section deals with three direct challenges that are or need to be made to accelerate the changes. It ends with a conclusion.

I. THE CREATION OF THE SYSTEM OF INVESTMENT PROTECTION

The international law on foreign investment is an interesting field to study in this context as the modern power-based norms were made rapidly within a period of under three decades.² The period coincided with the rise of neoliberalism.³ The rise of market capitalism that accompanied the emergence of the USA as the single hegemonic power upon the dissolution of the Soviet Union in 1989 saw international law being shaped to promote rules based on neoliberal preferences for the liberalization of the flows of trade and investment. In the international law of foreign investment, the last decade of the twentieth century⁴ saw the creation of a normative structure of investment protection detrimental to global community interests in the protection of the environment and human rights as well as to the interests of the people of the developing world. The law was made through the agency of private actors, sitting as arbitrators, devoted to the serving of interests of capital.

It was an episode that belied hoary fantasies that international law was created by states or that it was created for the global good on the basis of laws dictated by high moral considerations. The law that emerged was created initially by investment treaties made by states, but on these treaties, a superstructure was created through the low-order sources of law, namely, the decisions of arbitral tribunals and the writings of 'highly qualified publicists'. These were sources that could be manipulated by individuals to construct preferred norms through treaty interpretation.⁵ The means used for the development of this law itself lacked legitimacy. The lack of legitimacy flowed to a larger extent from the inconsistency of outcomes of arbitrations with similar facts, the frequent allegations of bias against arbitrators, the repeat appointments of arbitrators favouring investors by arbitral institutions, the growth of a class of lawyers controlling arbitration who acted as pleaders as well as arbitrators, excessively broad interpretations of treaty provisions to favour investors, third party funding of arbitrations, and other such factors. The rise and disfavour of investment arbitration took place largely in the third phase of the development of the law.

2 The award in *APPL v Sri Lanka* recognizing the unilateral right of the foreign investor to bring arbitration on the basis of the dispute settlement clause is taken as the starting point of the modern law on investment protection. It led to a spate of arbitration based on investment treaties. None existed previously. There were also few awards based on contract involving foreign investment. See *APPL v Sri Lanka*, above n 1.

3 There is no standard definition of neoliberalism. It is taken to mean the change towards a package revolving around market-based solutions including privatization, liberalization of flows of trades, assets and investment, the recognition of the sanctity of contract and property, and non-interference of the state in the markets except in the event of a market failure. Neither is the exact period of neoliberalism a subject of agreement. Honor Brabazon (Ed.), *Neoliberal Legality: Understanding the Role of Law in the Neoliberal Project* (New York: Routledge, 2016).

4 Stiglitz described the last decade of the twentieth century as the 'roaring nineties' when neoliberalism was at its highpoint. Joseph Stiglitz, *The Roaring Nineties: The Seeds of Destruction* (London: Allen Lane, 2003).

5 Such law lacked state consent. In positivist theory, the law made through these sources lacked legitimacy. This is not the basis on which lack of legitimacy is attributed in this paper. The point is used to illustrate that the law that is made through the use of these sources is inherently weak.

It is necessary to recount the phases of the development of the law on investment protection to indicate that, except in the third phase of neoliberalism, there was no strength in the norms that different groups of states had sought to create.⁶ During the first phase, the conflicting positions were rather equally poised as not to be able to displace each other.⁷ This phase consisted of relations as to foreign investment between the USA and Latin American states. The law that developed was a regional law. The USA argued for treatment of foreign investors in accordance with an international minimum standard applied by external arbitral tribunals. The Latin Americans advanced the Calvo Doctrine which demanded settlement of disputes according to domestic legal standards applied by domestic tribunals. The second period of relevance is the end of colonialism after the Second World War. During this time, there was an uneasy situation in the international law on foreign investment. The power balance in the world did not favour the thrusting of any particular view as to international law, outside the area of achieving rules of institutional cooperation. There was a challenge to the instrumental international law, particularly in the areas of trade and investment, by norms articulated by the developing world, especially through the New International Economic Order (NIEO)⁸, the thrust of which was to universalize the Calvo Doctrine.⁹ The norms of the imperial order were weakened but it cannot be said that they were displaced. What can be said was that there were three sets of international law during this period. One set consisted of the norms of international law advanced largely through the diplomatic efforts of the USA and accepted by the erstwhile imperial powers of Europe. This set of rules sought to continue the system of investment protection that the USA had developed to protect its investments in Latin America. That system recognized the existence of an international minimum standard for the treatment of foreign investment which was maintained by external arbitration of disputes in the event of the violation of the standard. The second consisted of the law of the communist states, the Soviet Union and China in particular, which did not accept private property and hence could not accept the protection of foreign investment.¹⁰ The third was the set of norms that the developing world, acting collectively as the Group of 77 or as the non-aligned movement, largely in the form of the norms contained in the New International Economic Order. This set of rules universalized the Calvo Doctrine, formulated in an earlier period by the Latin American states, giving exclusivity to national laws on issues of foreign investment.

6 For the development of the law, see Kate Miles, *The Origins of International Investment Law* (Cambridge: CUP, 2013).

7 The law began with the assertion of an international minimum standard in international law by the USA and its rejection by the Latin American states through the Calvo Doctrine. This phase of the history is dealt with in Miles, above n 6.

8 The Resolution on the Establishment of a New International Economic Order was passed at the Sixth Special Session of the General Assembly on 1 May 1974. A/Res/S-6/3201, 1 May 1974.

9 John Linarelli, Margot Salomon, and Muthucumaraswamy Sornarajah, *The Misery of International Law* (Oxford: OUP, 2018) 90–106.

10 This system, largely ignored in American and European writings, had come into existence after the Russian Revolution.

Given these competing systems, the USA, along with the erstwhile imperial powers of Europe, continued to articulate the norms of the order that best served their interests even if those norms took an attenuated form or had to mutate to accord with changed circumstances. Due to the existence of the NIEO norms, a means of preservation of the older norms of investment protection was through the making of a series of bilateral investment treaties and the creation of a dedicated arbitration system, the International Centre on the Settlement of Investment Disputes (1965), which would keep the old rules on investment protection, like the international minimum standard of protection, alive. In the face of attack through the NIEO, the strategy was one of conservation of the rules on investment protection which ensured that there were rudiments of a viable system of investment protection established. The making of bilateral investment treaties was rapid. During this second period, the two sets of norms were held in a state of near parity, investment treaties reflecting the Western viewpoint and the NIEO norms finding their way into constitutional provisions of developing states, particularly the norm as to sovereignty over natural resources. It was in the third stage that there emerged within a short space of time concrete rules of investment protection virtually displacing the norms that had been built up in the first period by the Latin Americans with their affirmation in the second period. The latter norms went into abeyance.

The fall of the Soviet Union changed the power structure of the world. It effectively removed one of the three competing centres of norm creation in international law. A single hegemon emerged. The USA was unmatched in terms of military and economic power. It became the leader of the globalization that was taking place. It sought to impose an instrumental international law on the world on the basis of its own preferred economic and political philosophy. Though neoliberalism began much earlier, with its espousal by Reagan in the USA, Thatcher in the UK, and Kohl in Germany in the early 1990s, it became the guiding economic philosophy of the powers that mattered. Shorn of the idealism that animated the first-generation leaders of the developing world, with economies in bad shape after the oil crisis of the 1980s, the developing countries began to fall in line behind the dictates of the Washington Consensus—a loose understanding between the White House, the World Bank, and the International Monetary Fund to drive the world economy on the basis of neoliberal principles. They believed that the acceptance of these principles through hard investment treaties will promote the flow of foreign investments, an untested hypothesis floated by the financial institutions.¹¹

The extent to which neoliberalism drove international law during the last decade of the twentieth century has not been fully studied.¹² It clearly generated the instruments of the World Trade Organization. Trade was liberalized, but more importantly, a regime was attached to trade on intellectual property, services, and government procurement enforced by a dispute settlement mechanism that was the most effective ever in terms of international law. The developments in international investment law were spectacular. More protective principles were introduced into investment treaties, and by interpretation, it was held that the appropriately worded dispute settlement of investment treaties

11 The economic soundness of this hypothesis is now heavily contested. Lauge Poulsen, *Bounded Rationality and Economic Diplomacy* (Cambridge: CUP, 2015).

12 Brabazon, above n 3; Jamie Peck, *Constructions of Neoliberal Reason* (Oxford: OUP, 2010).

created the right of unilateral recourse to arbitration against the host state in the investor. The system created ensured that an expansive regime of protection could be built block by block through the manipulation of the system of investment arbitration which constituted a subsidiary source of international law. Highly qualified publicists ensured that their commentaries on the awards reified the 'law' that was created in the awards through their writings.

The law was built up through the interpretation of an explosion of investment treaties that came to be made in the last decade of the twentieth century based on the false premise that investment flows would take place if investment treaties with secure standards of protection enforced by a secure system of arbitration were made.¹³ This led to a profusion of treaties. Since there was jurisdiction created by them at the instance of the foreign investor in the event of a violation of the treaty, there was also an explosion of investment disputes.

A dormant provision in the treaties, the fair and equitable treatment standard, was given a meaning that involved 'legitimate expectations' created by the states in the foreign investor and permitted compensation for the violation of such expectations. No state could have thought up such an interpretation when it made the treaties. It, nevertheless, became the basis of investment arbitration. An industry of doctoral theses supporting this evolution appeared, indicating how a subterfuge in international law could be quickly legitimized by the academic productivity.¹⁴ It is the system that was created during this period which lasted roughly from 1991 till 2004.¹⁵

The system that was created contained its own seeds of destruction as does every system that is not based on the use of legitimate sources. The challenges to the system accelerated when the system, originally aimed at developing states, began to affect the developed states as well. Arbitral awards through interpretation built up an edifice of investment protection totally at variance with the intention of the parties to investment treaties. Expropriation was broadened to include state measures which depreciated the value of the property. The most important interpretation was of the fair and equitable clause to include situations in which the 'legitimate expectations' of the foreign investor were violated by later change in government policies.

The asymmetric system aimed at developing countries dragged in developed states as well.¹⁶ Under the North American Free Trade Agreement, investment provisions targeted at Mexico quickly became the basis of several arbitrations against the USA and Canada. As the investment picture changed with the US and the European states

13 Poulsen, above n 11.

14 Eg. Rumana Islam, *The Fair and Equitable Treatment Standard in International Investment Law* (Singapore: Springer, 2018); Teerawat Wongkaew, *Protection of Legitimate Expectations in Investment Treaty Arbitration* (Cambridge: CUP, 2019).

15 2004 is taken as the year when the structure came to be challenged. It is the year of *Methanex v USA* in which regulatory expropriation was accepted as non-compensable and a new Model Treaty was made which contained defences. See *Methanex Corporation v. United States of America*, UNCITRAL, Final Award on Jurisdiction and Merits, 3 August 2005.

16 Notions of reciprocity of flows of investment which are the rationale for the treaties are described as 'something of a fraud' in José E. Alvarez, 'The Evolving BIT' (2010) 7 *Transnational Dispute Management* 1.

becoming the largest recipients of investments from the emerging economies of China and India, it was to be expected that foreign investors from these states would bring actions against the erstwhile imperial powers.¹⁷

There was a severe backlash against investment arbitration with the USA and the European Union taking measures against it. The change in the law takes place not because the countries least able to sustain the neoliberal changes resisted them but because developed states which had sustained the making of the law now found that the law was working against their interests. It is the confluence of circumstances that has led to the disintegration of the law that was built up on the basis of neoliberalism.

Yet, there are trends that indicate the tenacity of the law that has favoured the foreign investors will not yield easily. The 'reforms' that are taking place seek to address the peripheries of the system in the hope that by fixing them the challenges could be muted.¹⁸ So, the topics that are taken up at such forums deal with reform of arbitral bias or the prevention of repeat appointment of arbitrators. There is a need to reform the basic structure and the substantive principles of this area of the law, not tinker with the peripheral areas that do not cause the issues of legitimacy. Legitimacy depends on substantive not on procedural grounds.

Disintegration of the system is indicated by several factors. The European Union no longer uses investment arbitration in its treaties. It uses a standing court and hopes to work towards an international investment court.¹⁹ South Africa has terminated its investment treaties. It uses its domestic law and domestic courts to settle investment disputes. India and Indonesia have terminated their investment treaties. India has a model treaty which uses denial of justice as the only basis of claims. The treaty is a 'balanced treaty' providing defences to liability and for regulatory space. There is an increasing tendency for 'balanced treaties' with the US Model Treaty of 2012 being one of the first. The modern treaties of many states including Canada and Singapore are balanced treaties conserving regulatory space and providing defences based on the environment, human rights, labour rights, and cultural rights. The scope for inflexible investment protection as the basis of the investment treaties has almost reached a vanishing point. Yet, old arbitral habits die hard, the tendency being to circumvent these innovative trends.

In the *Misery of International Law*,²⁰ my co-authors and I addressed the structural issues that exist in international law which disadvantage and ensure the continuation of the misery of the majority of mankind. It is a serious indictment to make. We, as co-authors, believe that we have proved the indictment indicating how the structural

17 The *Ping An* award was an example. See *Ping An v Belgium*, ICSID Case No. ARB/12/29, Award, 30 April 2015.

18 An UNCITRAL Working Group is currently considering reform of investor-state dispute settlement. Its preoccupations are with third party funding, code of conduct for arbitrators, counterclaims, appellate mechanisms, and the establishment of an arbitration advisory centre. It is as if the problems of substantive law are non-existent. UNCITRAL, *Report of the Working Group III on the Work of its 38th Session* (18–20 October 2019), <https://uncitral.un.org/en/comm/sessions/38> (visited 28 April 2020).

19 See EU treaties with Canada, Vietnam, and Singapore, <https://ec.europa.eu/trade/policy/countries-and-regions/negotiations-and-agreements/> (visited 28 April 2020).

20 Linarelli, Salomon and Sornarajah, above n 9.

disadvantages were created and how the efforts at curing these disadvantages were thwarted. Principal among these disadvantages is the system relating to investment arbitration. Progressively, however, the battle lines within international law have been established so that there could be effective resistance to the structural norms that cause misery. Yet, the tenacity of the instrumental norms that cause misery has been so great that progress towards their erosion has been incremental until recently.

Though the illegitimacy of the system is increasingly coming to be accepted in scholarship, there are few frontal attacks made on it or suggestions of alternatives that would hasten its total disintegration. Writers who point out that the emphasis on investment protection ousts concern with human rights violations or environmental degradation caused by foreign investors seek accommodation of those concerns within the norms of investment protection as possible defences to liability.²¹ There is a pusillanimous attitude in attacking an edifice that was constructed in a manner that would serve small but powerful sectional interests within the international community. Instead of creating a hierarchy of the competing norms identifying the ones which have the force to displace the norms of investment protection, they seek accommodation as if the norm of investment protection has some sanctity that makes it inviolate. Fragmentation cannot be solved by appeasement but by the construction of a hierarchy of norms indicating which of them precede the value of foreign investment protection. Investment protection benefits only an increasingly diminishing portion of the rich within humanity.

There must be a frontal attack on the system at the time it is disintegrating due to the resistance of the developing countries as well as the opposition of the main developed countries.²² There must be fresh thinking done on how to accommodate concerns for investment protection with other concerns which may have priority such as the need to ensure the responsibility of multinational corporations, the position that rules on climate change taken as opposed to investment protection, and, if investment treaties need to be made, the nature of the priority that it should give to factors other than the protection of foreign investment. The rest of this article will deal with these matters in turn. In the context of change, it is important to direct the law towards the adoption of new positions.

II. HASTENING THE CHANGE

In the next section of this article, I seek to offer some views as to how change could be accelerated in the area through the development of counter-norms having greater strength. Despite its repeated failures, neoliberalism is still preserved as the dominant thinking by the ever-decreasing number of the rich who as a result of its policies

21 There are many works which consider the issue of conflicts between the different areas of international law such as environment and human rights with investment protection. Asha Kaushal, Kyo-Hwa Chung and Claire Balchin (eds), *The Backlash against Investment Arbitration: Perceptions and Reality* (Alphen aan den Rijn: Kluwer Law International, 2010).

22 The European Union is moving towards an international court as evident from its treaties with Canada, Singapore, and Vietnam. These treaties replace arbitration with a court system and envisage the creation of an international court for settlement of investment disputes.

have accumulated wealth that is collectively greater than the bottom half of the poor. Wealth gives power. Power enables the engineering of rules that ensure the survival of the rich classes both within states and transnationally. International law has been designed to promote such survival. Old rules of investment protection survived through mutations.²³ This phenomenon is replicated in many countries. It is possible for the rich to maintain their power by stoking up emotions like nationalism that ensure the entrenchment of politics, laws, and rules that are favourable to their continued dominance. They control the large multinational corporations of the world which ensure the accumulation of greater capital in their hands through the use of the law. A direct confrontation of these tendencies through the espousal of evidently just norms is the way to bring about change. Overthrowing regressive ideas that promote human inequality and suffering is the mark of progress towards a better world.

I take as my theme that multinational corporations are the principal actors for whose benefit the imbalances involved in the international order.²⁴ The multinational corporation is the conduit which channels wealth to the rich. One way of tackling the misery that international law causes is to dismantle the existing rules of accountability in international law which favour the multinational corporations, a task that recent institutional efforts have avoided.²⁵ I believe that the task has been avoided simply because it was unpalatable to the power brokers in international law to bring about solutions that would displease the powerful lobbies that they have been prone to support. Those who can effect changes avoid doing so possibly because the existing structures profit them.²⁶

23 An instance is when expropriation lost traction due to the establishment of the non-compensability of regulatory expropriation, a new avenue of imposing liability through the dormant provision of fair and equitable treatment was opened up. The *Metalclad* decision began this trend. See *Metalclad Corp. v Mexico*, ICSID Case No. ARB (AF)/97/1, Award, 30 August 2000. Subsequently, the US Model Investment Treaties of 2004 and 2012 recognized regulatory expropriation as non-compensable. See 2004 US Model Bilateral Investment Treaty, https://ustr.gov/archive/assets/Trade_Sectors/Investment/Model_BIT/asset_upload_file847_6897.pdf (visited 28 April 2020); 2012 U.S. Model Bilateral Investment Treaty, <https://ustr.gov/sites/default/files/BIT%20text%20for%20ACIEP%20Meeting.pdf> (visited 28 April 2020).

24 Corporations like the British and Dutch East India Corporations conquered people without attracting the attention of international law which was conveniently characterized as a law between states. There are new accounts of the extent of their misdeeds in international history without attracting any accountability. Jason Sharman, *Empires of the Weak: The Real Story of European Expansion and the Creation of the New World Order* (Princeton: Princeton UP, 2019).

25 An effort to deal with the situation is the study for the Human Rights Council by Professor Ruggie. The outcome is known as the *Guiding Principles on Business and Human Rights*. The Human Rights Council endorsed the Principles in its Resolution 17/4 of 16 June 2011. See United Nations, 'Guiding Principles on Business and Human Rights', New York and Geneva, 2011. For a critique on the ground that it is an exercise in appeasement, see Penelope Simons, 'International Law's Invisible Hand and the Future of Corporate Accountability for the Violation of Human Rights' 3 *Journal of Human Rights and the Environment* 5 (2012).

26 A recent instance is the International Court of Justice forbidding existing members of its court to participate in the business of investment arbitration. On 25 October 2015, the President of the ICJ announced that sitting judges will not accept arbitral appointments particularly in investment arbitration. In his speech to the General Assembly of the UN, the President of the ICJ announced that ICJ judges will no longer sit as investment arbitrators. Speech by H.E Mr. Abdulqawi Yusuf, President of the International Court of Justice on the Occasion of the Seventy-Third Session of the United Nations General Assembly, 25 October 2018, <https://www.icj-cij.org/files/press-releases/0/000-20181025-PRE-02-00-EN.pdf> (visited

The areas discussed contain efforts to displace the dominance of the multinational corporation. The first is the absence of any control over the multinational corporations despite the fact that in a previous era, it conquered peoples of Africa and Asia and kept them in thrall. The fiction that states are the only subjects of international law enabled this result,²⁷ despite the fact that corporations ruled vast parts of Asia and Africa.²⁸ They still continue to dominate trade and investment. There are many who think that the use of military force in recent times in places like Iraq and Libya was designed to facilitate their continued dominance of trade in oil.²⁹ Yet, every effort to make rules to construct liability for multinational corporations has so far been thwarted. The creation of such liability is a necessary precondition for the removal of misery of the disadvantaged.

Secondly, the multinational corporations produce goods that are geared to promote climate change or mine the earth for resources depleting it in a manner that harms the environment. Climate change is one of the pressing problems of humanity. The disadvantaged suffer the effects of climate change more. The rights of indigenous peoples are discarded. Neoliberalism and the search for profits for multinational corporations have directed the laws towards the creation of situations that enable the multinational corporations to make profits without any cost imposed on them for the alleviation of the harm to the environment they cause in the process of earning their profits. The law on climate change that has been generated identifies the need to reduce emissions but states little about the principal actors that cause the problem. The law is addressed to states not the private agents who commit the misconduct that affects climate change. The direction of the law should be towards the control of climate change by ensuring that maximum control over the activities of multinational corporations as facilitators of climate change is reduced.³⁰

The third factor is the network of investment treaties which are designed to ensure the protection of the interests of multinational corporations. Arbitrators in disputes subject to these treaties have interpreted provisions in them so expansively that the protection has been enhanced. South Africa has rejected such treaties. Some states have

28 April 2020). The judges, usually party-appointed, have signed awards favouring the expansion of rules that asserted the protection of foreign investments to the detriment of other norms promoting the public interests. Their impartiality was doubted. See Nathalie Bernasconi-Osterwalder and Martin Dietrich Brauch, 'Is Moonlighting a Problem? The Role of ICJ Judges in ISDS', IISD, 2017, <https://www.iisd.org/sites/default/files/publications/icj-judges-isds-commentary.pdf> (visited 27 April 2020).

27 Markos Karavias, *The Concept of Corporate Obligations under International Law* (Oxford: OUP, 2015). A recent British textbook states: 'The question of the international personality of the transnational corporations remains an open one'. See Malcolm Shaw, *International Law* (Cambridge: CUP, 2014) at 182. It has been easier for writers on international relations to recognize the extent of the power of multinational corporations in shaping legal regimes. Claire Cutler, *The Emergence of Private Authority in Global Governance* (Cambridge: CUP, 2002).

28 Jason Sharman, above n 24. p.28.

29 Sara Bazoobandi, 'The Middle East, North Africa and Socio-Economic Challenges' in Sara Bazoobandi (ed) *The New Regional Order in the Middle East* (London: Palgrave, 2020).

30 Michael A. Long, Paul B. Stretesky and Michael J. Lynch, 'Foreign Direct Investment, Ecological Withdrawals, and Natural-Resource-Dependent Economies', 30 *Society & Natural Resources* 1261 (2017); Valentina Vadi, 'Beyond Known Worlds: Climate Change Governance by Arbitral Tribunals?', 48 *Vanderbilt Journal of Transnational Law* 1285 (2015), at 1343.

renounced investment arbitration by withdrawing from arbitral institutions.³¹ Many states now have balanced treaties that seek to integrate the right to regulate within the protection of investments so as to take account of misconduct of the foreign investors.³²

These treaties do not go far enough. A new type of treaty, if treaties need to be made, is necessary to accomplish change. Such a system is contemplated in the third section. It seeks to invert the principles of investment protection by making the right to regulate the central feature of investment treaties, if it is necessary to make them. Each of these themes for reform will be taken up in turn.

A. Accountability of multinational corporations

Despite the role that multinational corporations have played in international politics and economics, they are yet to be accorded personality in international law. Such lack of personality shields them from liability.³³ They are now able to sue states under international investment treaties but yet are beyond suit by states before international tribunals on the pretext that they have no personality in international law. Despite investment tribunals acknowledging the need to impose liability for misconduct, they have refused to do so on the ground that they lack power.³⁴ Efforts at making laws to control their behaviour have largely proved futile. They are the principal actors in international investment law, but the liability of these corporations for misconduct is seldom discussed. If they are ever considered, there is the sanitized consideration of the accountability of multinationals such as in the Principles on Business and Human Rights³⁵, purposefully constructed to soft-pedal issues of accountability. Such delicacy is promoted by the view that it is bad to scare away investments much needed by developing countries by considering issues of liability of the corporations for misconduct.

Yet, possibilities exist as to such accountability. The first is the extraterritorial enforcement of the laws of the host state and the enabling of access of victims to the courts of the home states of multinational corporations. The second is to explore means by which weaker states which are more likely to be affected by the misconduct of the multinational corporations to utilize existing means, such as those found in investment treaties to deal with such misconduct. The third is to use national laws that have received

31 Bolivia, Ecuador and Venezuela have withdrawn from ICSID arbitration. Katia Fach Gomez, 'Latin America and ICSID: David versus Goliath', 17 *Law & Bus. Rev. Am.* 195 (2011). New Zealand entered into an agreement with six Trans-Pacific Pact states not to use ISDS. At the conclusion of the Regional Comprehensive Partnership (RCEP), Malaysia indicated that ISDS has been dropped from the RCEP. Patricia Ranald, 'Suddenly The World's Largest Trade Agreement Won't Allow Corporations to Sue Governments' *The Conversation* 16 September 2019, <https://theconversation.com/suddenly-the-worlds-biggest-trade-agreement-wont-allow-corporations-to-sue-governments-123582> (visited 28 April 2020).

32 Martin Jarrett, *Contributory Fault and Investor Misconduct in Investment Arbitration* (Cambridge: CUP, 2019).

33 José E. Alvarez, 'Are Corporations "Subjects" of International Law?' 9 *Santa Clara J. Intl L* 1 (2011). Discussion on the personality of multinational corporations is otiose in times when individuals have criminal responsibility. Corporations under any system are but representations of individuals. Corporations have been prosecuted during the Nuremberg tribunals. They have had personality when it suited big powers.

34 There was an early distaste for considering counterclaims. But, this may be changing. *Urbaser S.A. and Consorcio de Aguas Bilbao Bizkaia, Bilbao Biskaia Ur Partzuergoa v. The Argentine Republic*, ICSID ARB 07/26, Award, 8 December 2016; *Burlington Resources Inc. v Republic of Ecuador* ICSID ARB 08/05, Decision on Ecuador's counterclaims, 7 February 2017.

35 United Nations, above n 25.

international law principles on the obligations of multinational corporations through incorporation. The fourth is to create responsibility in multinational corporations directly through its inclusion in appropriate treaties.

The Ruggie Principles as well as those which preceded it have been to bring about non-binding, soft law prescriptions to prevent their deleterious conduct.³⁶ In an integrated world, such misconduct increases. But, efforts to control corporate misconduct through binding codes have been foiled.³⁷ There are many soft law instruments on controlling the misconduct of multinational corporations. The Principles on Business and Human Rights speak in terms of the responsibility to protect against misconduct³⁸ but amount to 'loud sounding nothing' as no enforceable liability arises for breach. Soft law is the approach for the misconduct of multinational corporations though states pay in millions even where they take measures to protect their public interests. The fact is that powerful multinational corporations backed by strong home states have warded off the eventuality of hard law in the area. It is wishful thinking to speak in terms of soft law congealing into hard law as this is never likely to occur.³⁹ It is equally wishful to think of a hard law instrument as the powerful states are unwilling to participate in it. Political consensus will take a long time to emerge as multinational corporations, and strong states which support them will cavil at restrictions being imposed on them so as to benefit altruistic or community expectations. It is for this reason that weaker states, which are more likely to be affected by the misconduct of multinational corporations, should explore means of ensuring that their interests are protected.

One possible means of control lies in the extraterritorial enforcement of national laws of home states controlling the misconduct of multinational corporations. The US Alien Torts Act provided the best example.⁴⁰ The possibility was raised that under this Act, any international wrong overseas by any person who comes into the USA could be sued as an international tort. Many cases were brought under the Act in respect of

36 The Ruggie Principles are contained in the 'Protect, Respect and Remedy' Framework. For text, see Human Rights Council, 'Protect, Respect and Remedy: a Framework for Business and Human Rights' 7 April 2008, <https://www.business-humanrights.org/sites/default/files/reports-and-materials/Ruggie-report-7-Apr-2008.pdf> (visited 28 April 2020). John Ruggie, *Just Business: Multinational Corporations and Human Rights* (New York: Norton, 2013).

37 The United Nations Commission on Transnational Corporations sought to bring about a binding code in the 1970s. Strong states ensured that the UNCTC was disbanded and such efforts discontinued. See Carsten Stahn, 'Liberals vs Romantics: Challenges of an Emerging Corporate International Criminal Law', 50 Case W.Res.J.Int'l L.91 (2018). Tagi Sagafi-Nejad, *The United Nations and Transnational Corporations: From Code of Conduct to Global Compact* (Bloomington-Indianapolis: Indiana UP, 2008). Karl P. Sauvant, 'Lessons from the Negotiations of the United Nations Code of Conduct on Transnational Corporations and Related Instruments', in C. L. Lim (Ed.), *Alternative Visions of International Law on Foreign Investment: Essays in Honour of Muthucumaraswamy Sornarajah* (Cambridge: CUP, 2016). For text of the Code, see Commission on Transnational Corporations, 'Report on the Special Session (7–18 March and 9–21 May 1983)', Official Records of the Economic and Social Council, 1983, Supplement No. 7 (E/1983/17/Rev. 1), Annex II, <https://investmentpolicy.unctad.org/international-investment-agreements/treaty-files/2891/download> (visited 28 April 2020).

38 The phrase is reminiscent of the contemporary formulation of the 'responsibility to protect' which is now seen as a subterfuge for humanitarian intervention.

39 The developments are surveyed in Barnali Choudhury, 'Balancing Soft and Hard Law for Business and Human Rights', 67 International and Comparative Law Quarterly 961 (2018).

40 28 U.S.C. § 1350.

multinational corporations for wrongs they had committed overseas. The cases on the legislation gave much hope until the Supreme Court in *Kiobel v Royal Dutch Shell*⁴¹ narrowed the prospect of its application. By a narrow majority, the Supreme Court held that cases could be brought against a multinational corporation for a wrongdoing only in situations where the multinational corporation has a real nexus with the USA. Speaking for the minority, Justice Stephen Breyer temptingly asked the question as to who the modern day pirates are, perhaps inviting the answer that modern-day multinational corporations which violate human rights involving torture or genocide could be so considered.⁴² Yet, the view in *Kiobel* is becoming entrenched. The USA must not be taken as relinquishing extraterritoriality but as only requiring that the multinational corporations should have a close nexus with the USA, either by being a US corporate national, by doing significant business within the USA, or having significant presence within the USA. *Kiobel* must be taken as a mere tightening of the requirements on which to base extraterritorial control.

It would seem that as much as the US courts may be seen as restricting extraterritorial control, courts in other jurisdictions may be considering the assumption of jurisdiction in situations of international torts though it would appear that the same limitations as to nexus between the corporation and the jurisdiction should exist. The English courts in *Vedanta Resources v Lungowe*⁴³ approved of jurisdiction over a parent company in the UK for violations committed by the subsidiary in Zimbabwe. The trend towards parent company liability for misconduct of a subsidiary seems to be emerging. The continued faith in universal jurisdiction may result in a wider base for jurisdiction beyond such limitations.

Other ways of recognizing liability could be contemplated. One approach would be to use existing investment treaties to ensure that abusive conduct by multinational corporations is prevented.⁴⁴ A direct right could be given to groups such as indigenous groups affected by the foreign investors to sue under investment treaties.⁴⁵ This can be accomplished if the protection of the treaties is refused to those corporations that have

41 *Kiobel v Royal Dutch Petroleum Co.*, 133 S.Ct. 1659 (2013); *Jesner v. Arab Bank PLC*, 138 S Ct 1386 (2018).

42 Justice Breyer discussing the piracy analogy and its use in interpreting the Alien Torts Act said: 'To the contrary, the statute's language, history, and purposes suggest that the statute was to be a weapon in the 'war' against those modern pirates who, by their conduct, have 'declar[ed] war against all mankind'. One of Breyer J's categories to which the Alien Torts Act would apply is 'a distinct interest in preventing the United States from becoming a safe harbor (free of civil as well as criminal liability) for a torturer or other common enemy of mankind.' See *Kiobel v US*, above n 41.

43 *Vedanta Resources v Lungowe* [2019] UKSC 20. The presence within jurisdiction, control, and oversight of foreign subsidiary are factors that vest jurisdiction over the parent company for conduct of the foreign subsidiary.

44 Whether the existing community of arbitrators would be amenable to such a course may be doubted. But, the idea of corporate responsibility as a requirement is emerging in investment treaties. See the Indian Model Treaty, https://dea.gov.in/sites/default/files/ModelBIT_Annex_0.pdf (visited 28 April 2020).

45 So far, these rights have to be taken up by the states. A unique instance of a state suing a multinational corporation (under contract) is *Newmont v Indonesia*, UNCITRAL ad hoc Award, 31 March 2009. (reported in *Investment Arbitration Reporter*), <https://www.iareporter.com/arbitration-cases/republic-of-indonesia-v-pt-newmont-nusa-tenggara-nnt/> (visited 28 April 2020).

committed international wrongs.⁴⁶ Since the ability to bring investment arbitration is the best example of the existing personality of international law, it is by using that means that multinational corporations could be made to observe human rights, environmental standards, and other standards mandated by the international law. It is imperative that if investment claims are brought, states are permitted to bring counterclaims based on human rights and other violations by the multinational corporations.⁴⁷ Even if they are rejected by neoliberal arbitrators as has been their wont, there would be a record of the corporate misconduct as well as the injustice involved in the awards made by arbitrators. The second is to examine more closely the need for the type of investment state dispute settlement we have at present and the imbalances it contains by ensuring that arbitrators who show pro-investment biases do not secure repeat appointments as they presently do. It is difficult to understand how, despite their nakedly evident prejudices, they are permitted to sit continuously to perpetuate their pro-business prejudices. It would be better still to do away with arbitration and have the issues settled by domestic courts so that offending foreign corporations must first subject themselves to scrutiny by the domestic courts before they are allowed to bring claims against states for mistreatment. Such a solution could be done, as South Africa has done, through domestic legislation after terminating investment treaties. Foreign investment will not go away if the offending multinational corporations are openly punished for their misconduct. The belief that they would is a cultivated fiction. No good investment would be deterred when bad investors are told off. It would be good to bury this hoary fiction that all foreign investments are beneficial to a developing state.

The more significant solution is to have a multilateral agreement on corporate liability for misconduct in home states by multinational corporations. The story of how a past attempt to bring about such a code by the now-defunct United Nations Commission on Transnational Corporations is now well known.⁴⁸ A fresh effort has been made in the context of the Human Rights Council. The Council established the Open-Ended Intergovernmental Working Group on Transnational Corporations and Other Business Enterprises with Respect to Human Rights (OEIGWG) in 2014. Its task is 'to elaborate an international legally binding instrument to regulate, in international human rights law, the activities of transnational corporations and other business enterprises'. There is now a draft document made by this Working Group.⁴⁹ The draft reflects a compromise but does seek to take the law further towards the liability of multinational corporations by creating duties in states to afford access to their courts to establish liability and

46 *1 Hesham Talaat M. Al-Warraq v Republic of Indonesia*, UNCITRAL, Final Award, 15 December 2014. The language of the treaty permitted such a result. Technically, a host state could not have intended to protect a corporation that misconducts.

47 Counterclaims are coming to be permitted. *Urbaser S.A. v. The Argentine Republic*, above n 34; *Burlington Resources Inc v. The Republic of Ecuador*, above n 34. These trends would be assisted by the newer, balanced treaties. *David Aven et al. v Republic of Costa Rica*, ICSID Case No UNCT/15/3, Final Award, 18 September 2018. Compare earlier case involving Costa Rica, where such arguments were ignored. See *Santa Helena v Costa Rica*, ICSID Case No. ARB/96/1, Award, 17 February 2000.

48 Human Rights Council, above n 36.

49 Revised draft of a legally binding instrument to regulate, in international human rights law, the activities of transnational corporations and other business enterprises, 16 July 2019, https://www.ohchr.org/Documents/HRBodies/HRCouncil/WGTransCorp/OEIGWG_RevisedDraft_LBI.pdf (visited 28 April 2020).

recognizing that fragmentation of the law should be prevented by prioritizing concerns of the international law on human rights.

With the possibility of the personal accountability of executives of the multinational corporations coming to be discussed, the law will increasingly move towards the long-delayed acceptance of the liability of multinational corporations.⁵⁰ That trend will have to be accommodated within the international law on foreign investment. When this happens, the disintegration of the existing norms on investment protection will be accelerated.

B. Climate change and multinational corporations

The extent to which multinational corporations and their practices in developing countries contribute to climate change is seldom the focus of international environmental law. The focus is on the reduction of generation of carbon emissions by states without focus on who is responsible for the production. Yet, statistics on the subject as well as the law concentrate on the national production of emissions rather than who the large creators of such emissions are. The addressing of the root causes of the issue through legal mechanisms is necessary. The root causes are that there has been overconsumption of the resources of the land by the ever-decreasing number of the super-rich of the world amounting to less than 10% of humanity who command more collective wealth than the bottom half of humanity and the spoliation of natural resources for use in production of goods and services by multinational corporations. The two are interconnected for the wealth of the few is generated by the multinational corporations of whom they are the main shareholders. Yet, the law on climate change is largely addressed to states and the reduction of emissions they cause.⁵¹

Australia, which has recently been the scene of massive bushfires, provides an example. The problem is caused by excessive mining of coal and fossil fuels.⁵² The Australian governments which have tried to control it have routinely fallen from power because of the coalition of the mining companies, acting in concert with media groups ensuring that no government which seeks to deal with the problem of climate change through taxation and other measures stays in power.⁵³ If action against climate change is to be taken, it must be directed at the companies which are the causes of the problem and the agents that support them, like the media. They must be dealt with through the construction of international law standards.

The desecration of the environment, the desertification caused by farming practices, the consequent flow of tribal people from their homelands, the spoliation of natural resources, and the massive amount of pollution caused by industrial practices adopted with profit motives are the major reasons that bring about climate change. These are

50 This may yet be wishful thinking. Stahn, above n 37.

51 Vadi, above n 30, at 1343.

52 For the background and politics of climate change in Australia, see Mark Butler, *Climate Wars* (Melbourne: Melbourne UP, 2017).

53 Christopher Knaus, 'Mining Firms Worked to Kill Off Climate Action', *The Guardian*, 10 October 2019, <https://www.theguardian.com/environment/2019/oct/10/mining-firms-worked-kill-off-climate-action-australia-ex-pm-kevin-rudd> (visited 28 April 2020).

problems that are generated by multinational corporations. The focus of the law, while keeping carbon emissions by states in view, should also shift to the consideration of the extent to which the malpractices of these corporations lead to climate change.

There must be boldness in matters where there is a class between foreign investment protection and community values such as climate change, human rights, or the environment. In these circumstances a hierarchy of values should be constructed with foreign investment yielding to those international community interests that stand on a higher plane. Certainly, climate change would displace foreign investment protection due to the urgency involved in issues of climate change.

C. Changing the focus of investment treaties

It is now commonplace to state that investment treaties and the law generated under them by awards made by arbitrators biased towards business are in a crisis of legitimacy. Consequently, there have been three types of responses. The first change is the clear trend towards balanced treaties. These may be identified as providing defences for matters involving the public interest. In these treaties, the 'balance' is effected in terms of Article XX of the GATT Agreement. Such balanced treaties have existed for some time. Most investment awards however deal with the traditional investment treaties that do not contain defences. The mindset of the existing body of arbitrators perhaps resents these obtrusive changes effected to the treaties taking them away from strict investment protection. The more recent balanced treaties state wider exceptions and defences than the formula used in GATT. A balance is said to be effected between investment protection, the traditional objective of investment treaties, and the need for the state to regulate in the public interest. The balance in these treaties is secured by providing exclusions or defences for measures such as those taken to secure environmental protection, human rights, labour standards, cultural property, and rights of indigenous people. The 2004 US Model Treaty began the trend towards balanced treaties. *Methanex v US* (2004)⁵⁴ had the salutary effect on the USA of bringing about the realization that the protection of public interests such as health may have to override investment protection. Since then, there has been an exploration of how best this can be done in other treaties, the Indian Model Treaty being an extreme variant containing broad defences that erode investment protection considerably. They are in effect also a response to the legitimacy crisis in investment arbitration. Though such treaties have now been made, there has been no consideration of such treaties by arbitration tribunals yet. It is likely that existing arbitrators will interpret these treaties in the context of their known ideological preferences, either decimating their objective or giving heed to the objectives. This is borne out by the few existing awards.⁵⁵ States must adopt a different strategy to bring about a balance rather than state the situations of non-responsibility in terms of exclusions and defences.

If there is a need for balance, then, it should have been effected by putting the regulatory right of the state and the public interests it protects at the outset of the

⁵⁴ *Methanex v. United States of America*, above n 15.

⁵⁵ See, e.g. *David Aven et al. v Republic of Costa Rica*, ICSID Case No UNCT/15/3, Final Award, 18 September 2018 as an instance where the environment was given consideration.

treaty giving precedence to the public interest over investment protection. To do otherwise is to put the cart before the horse. No constitution of a state brooks the idea that any matter other than the protection of the interests of the public interest is given priority. A state exists to protect the public interest. *Salus populi, suprema lex*. How is it then that a state can sign an investment treaty that ignored the public interest altogether as the old treaties did and when the need for stating the public interest is recognized, they are stated as mere exclusions. The more consistent method would be, if balanced treaties are the way to go, for the circumstances of the right to regulate (beyond the category of regulatory expropriation which is provided for in customary international law) be first stated and indication then be made when the foreign investor should be compensated in situations where the right is wrongly exercised. The criteria for the wrongfulness could then be stated in the treaty giving a clear indication to a decision-maker that priority is to be given to the right of a state to protect its people, which is the *raison d'être* of a state both in international and constitutional law.

If investment treaties are indeed necessary, then, consistent with constitutional law principles, precedence must be given in the treaty to the protection of public interest over foreign investment protection. Since it is now coming to be accepted that the idea that investment treaties promote investment flows is not based on sound evidence, it becomes easier to cast investment treaties taking into account domestic interests as well as international community interests in climate change and the reduction in the fragmentation of international law.

III. CONCLUSION

There are rapid changes taking place in the international law on foreign investment. The legitimacy of the normative regime of investment protection was found lacking due to the absence of consistency and the inability of its compliance system to act without bias. Consequently, the structure began to disintegrate. Yet, the disintegration was kept at bay by parties interested in its survival. With developed states, which had created the system, becoming disgruntled with the manner in which the system operated, the disintegration accelerated. If the iniquitous system's erosion is to accelerate the emergence of counter-norms in the areas of corporate responsibility, rules on climate change responsibility and a new structure of investment treaties should be promoted. These counter-norms reflect the concerns of the larger portion of humanity. They must have the power to displace the norms in investment treaties which not only diminish the state's power to regulate in the public interest but also prevent the achievement of objectives that are of global significance.

Under the guise of depoliticization and economic development, a highly political project of rules favourable to multinational corporations was accomplished through investment treaties and investment arbitration. As in the case of an imperial law constructed on the basis of the standard of civilization of Europe bringing civilization to peoples who had a more continuous standards of human civilization, an international law on foreign investment was constructed on the basis of unprovable economic

assumptions and political preferences, while pretending that neutral norms favourable to economic development were being purveyed. As Gandhi said, the world has enough to meet humankind's need but never enough to meet humankind's greed. The hastening of change of a law based on human greed is a worthwhile project to accomplish. In the post-coronavirus world, new thinking must bring change.